

ever looked up to check the cash price of whatever commodity they traded.

I'm sure you've heard about the person who buys onion futures and all of a sudden there's 20 carloads of onions delivered to his or her front door. Even though this occasionally happens, the stories are misleading. A dedicated futures trader probably wouldn't notice if there were onions in the front yard or not. He'd be absorbed in his printouts, trying to figure out if he was up or down for the day.

I reviewed these findings with the public relations people, who reminded me that without real soybeans there would be no possibility of settlement, and therefore the millions of dollars in soybean futures contracts would have no meaning. I thought they had a point. A real soybean was a threat to be held over traders' heads on expiration day, without which they might welch on their obligations. As the business gets more sophisticated, the threat of a real soybean becomes less necessary.

They also informed me of recent progress in eliminating the fraud and abuses suffered by the average speculator in commodities. Both industry and government have joined forces to work for fairer trading. Personally, it was hard to believe that anybody lost sleep over the cheating in an industry where 80 to 90 percent of the participants lost all their money anyway, but there were meetings about this every year, and new rules often came out of the Commodity Futures Trading Commission.

The CFTC was established in 1975 to monitor the 82 different futures bought and sold at eight different U.S. exchanges and to insure that a majority of speculators lose money in an orderly, reasonable, and efficient manner. I visited the CFTC in Washington, at its modest new offices near the headquarters of the over-the-counter market. Down the hall, past the flags and beyond the picture of the president, I saw one or two people wandering about.

While waiting to see Nick Memoli, a staff economist, I picked up a booklet entitled "Commodity Futures Trading Commission: The First 10 Years." It had the drama of a good detective novel, and it gave a better overall sense of the futures business than anything else I'd seen to date.

"Off and Running" was the first chapter, when the new CFTC